

GOVERNMENT OF KERALA

Abstract

Finance Department-Appointing Kerala Financial Corporation as the agent of the State Government under Section 25 1(e) of State Financial Corporation's (SFC's) Act 1951, for providing financial assistance upto Rs.100 crore to Industrial concerns, MSMEs and State PSUs-Orders issued.

FINANCE (PUBLIC UNDERTAKINGS-A) DEPARTMENT

G.O.(Ms)No.106/2026/FIN Dated, Thiruvananthapuram, 29-07-2026

Read:

1. GO(Ms)No.34/2021/Fin dated 20/02/2021
2. GO(Ms)No.23/2022/Fin dated 03/02/2022
3. GO(Ms)No.15/2024/Fin dated 15/02/2024
4. GO(Ms)No.17/2026/Fin dated 15/02/2026
5. Letter No.KFC-HO/226/2024-M(MDO) dated 16/07/2026 from the Managing Director, Kerala Financial Corporation.

ORDER

Kerala Financial Corporation was appointed as the agent of the State Government, under Section 25 1 (e) of State Financial Corporation's (SFCs) Act 1951 for providing financial assistance upto Rs.50 Crore to State PSUs only, without any restriction on paid-up share capital and free reserves limit, vide the Government Order read 1st above. Vide Government Order read 2nd above, the Government Order read 1st above was modified to appoint KFC as an agent of the State Government, under Section 25 1(e) of State Financial Corporation's (SFCs) Act 1951, for providing financial assistance up to Rs.50 Crore to Industrial Concerns, MSMEs and State PSUs, without the restriction on paid up share capital and free reserves limit, for a period of 2 years with following safeguards.

- (a) KFC shall mobilise own fund without any financial commitment/Guarantee from the Government.
- (b) The Board of KFC shall put in place adequate internal controls and safeguards in its lending Policy.
- (c) KFC shall insist on obtaining Credit Rating from RBI accredited Credit Rating Agencies while funding large projects.

2) Vide Government orders read 3rd and 4th paper above, sanction has been accorded for the extension of the validity period of the scheme for 2 years from 03.02.2024 to 02.02.2026 and then two years from 03.02.2026 to 02.02.2028 accordingly subject to the existing terms and conditions.

3) In the letter read 5th paper above Managing Director, Kerala Financial Corporation has requested to accord sanction to appoint KFC as an agent of the State Government, under Section 25 1(e) of State Financial Corporation's (SFCs) Act 1951, for providing financial assistance up to Rs.100 Crore to Industrial Concerns, MSMEs and State PSUs, without the restriction on paid-up share capital and free reserves limit subject to the existing terms and conditions.

4) Government have examined the matter in detail and are pleased to accord sanction to appoint KFC as an agent of the State Government, under Section 25 1(e) of State Financial Corporation's (SFCs) Act 1951 to accord sanction to appoint KFC as an agent of the State Government for providing financial assistance up to Rs.100 Crore to Industrial Concerns, MSMEs and State PSUs, without the restriction on paid-up share capital and free reserves limit, subject to the existing terms and conditions.

To:

- The Principal Accountant General (A&E;), Kerala, Thiruvananthapuram
- The Principal Accountant General (G &SSA;), Kerala, Thiruvananthapuram
- The Accountant General (E&RSA;), Karunakaran Nambiar Road, Thrissur
- The Chief Engineer, PWD (Roads / Bridges / Buildings), Thiruvananthapuram
- The Director of Treasuries, Thiruvananthapuram
- The Nodal Officer, Finance - ctfmweb@gmail.com
- Finance Department
- Stock File / Office Copy

(By order of the Governor)

UNDER SECRETARY / SECRETARY TO GOVERNMENT